Dalhousie was keen on annexing the kingdom of Awadh. But the task presented certain difficulties. For one, the Nawabs of Awadh had been British allies since the Battle of Buxar. Moreover, they had been most obedient to the British over the years. The Nawab of Awadh had many heirs and could not therefore be covered by the Doctrine of Lapse. Some other pretext had to be found for depriving him of his dominions. Finally, Lord Dalhousie hit upon the idea of alleviating the plight of the people of Awadh. Nawab Wajid Ali Shah was accused of having misgoverned his state and of refusing to introduce reforms. His state was therefore annexed in 1856.

Undoubtedly, the degeneration of the administration of Awadh was a painful reality for its people. The Nawabs of Awadh, like other princes of the day, were selfish rulers absorbed in self-indulgence who cared little for good administration or for the welfare of the people. But the responsibility for this state of affairs was in part that of the British who had, at least since 1801, controlled and indirectly governed Awadh. In reality, it was the immense potential of Awadh as a market for Manchester goods which excited Dalhousie's greed and aroused his 'philanthropic' feelings. And for similar reasons, to satisfy Britain's growing demand for raw cotton, Dalhousie took away the cotton-producing province of Berar from the Nizam in 1853.

It needs to be clearly understood that the question of the maintenance or annexation of native states was of no great relevance at this time. In fact, there were no Indian states in existence at that time. The protected native states were as much a part of the British empire as the territories ruled directly by the Company. If the form of British control over some of these states was changed, it was to suit British convenience. The interests of their people had little to do with the change.